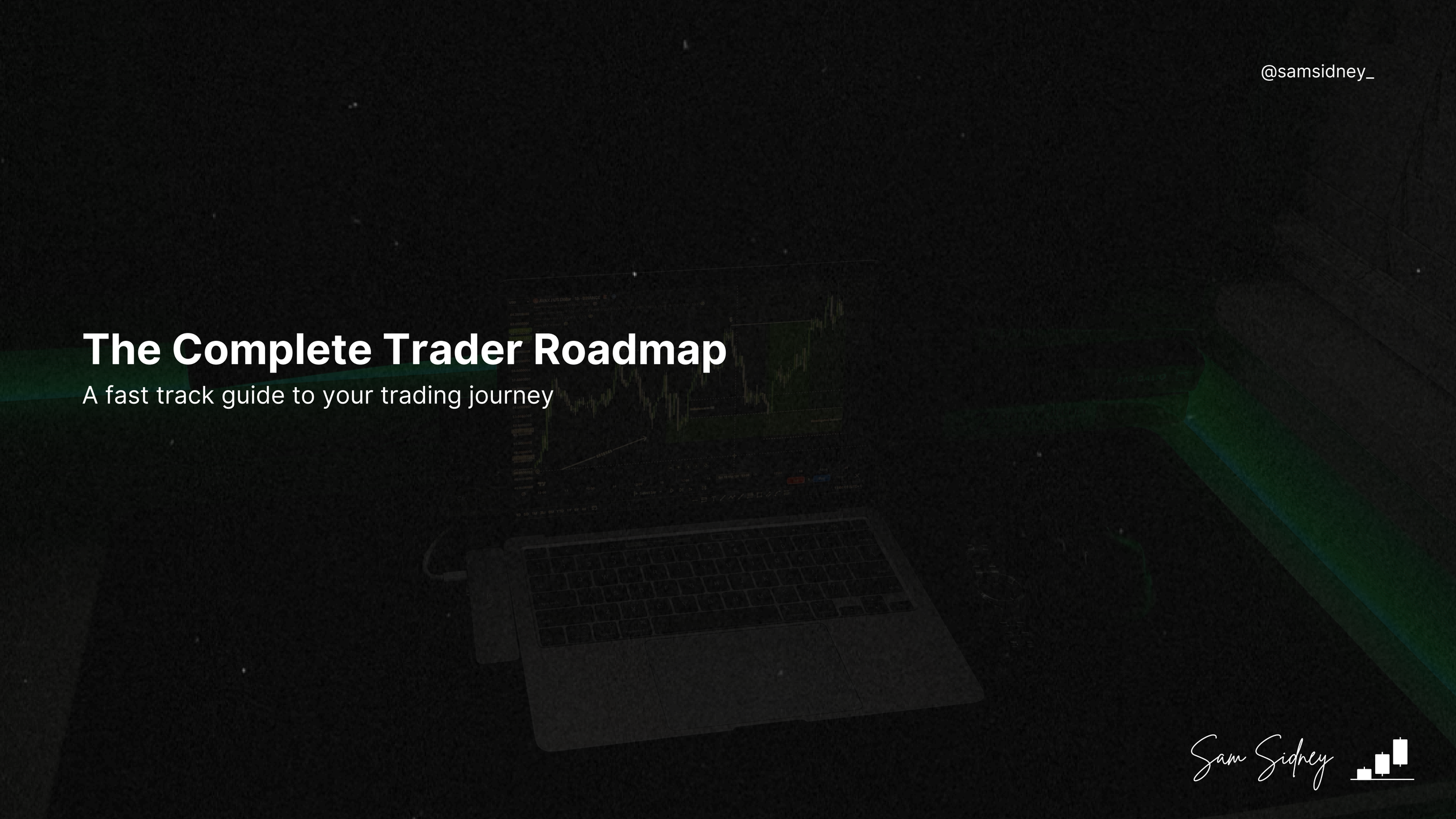
@samsidney_

The Complete Trader Roadmap

A fast track guide to your trading journey



Sam Sidney

“How Do I Start Trading”

Step 1: Pre Planning & Preparation

1. Identify Your Short, Medium, and Long-Term Goals:
The following goals should be measurable with the current stage your at in your journey, if your just starting today your short term goal should not be “Make $10k next month” it’s unrealistic. When setting these goals be honest with yourself so you can actually achieve them and use the momentum of each win to keep getting better and not quitting. Once you’ve defined your goals make sure you write them down so you can really cement them in your mind and give yourself a rough timeline.

- **Short-Term Goals:** These might be immediate targets like learning how to use trading platforms, understanding basic market terms, or making your first profitable trade. For instance, aim to understand the basics within 3 months or make your first profitable trade within 6 months.

- **Medium-Term Goals:** These could include goals like achieving consistent profits, learning advanced trading strategies, or becoming a funded trader. A medium-term goal might be to have a stable trading income after 6 months → 2 years.

- **Long-Term Goals:** Think about where you want to be in 5-10 years. Are you aiming to trade full-time, manage a trading portfolio, or even run your own trading community? Your long-term goal might be to achieve financial independence or to become a recognised expert in a specific trading niche.

Step 1: Pre Planning & Preparation

2. Identify Your Risk Tolerance and Capital Allocation:
Before diving into the world of trading, consider this: the cost of a traditional four-year degree can easily exceed $100,000. Now, ask yourself, how much are you willing to allocate towards learning to trade? You can start this journey for free, and I'll guide you through that in this mini-course.

However, investing even a modest amount, say between $200 to $1,000, in quality courses and paid educational resources can significantly shorten your learning curve, giving you the tools and insights needed to trade more effectively from the get-go.

Now when it comes to actually funding your trading account there’s a few things your going to need to be comfortable determining in the beginning:

- **Risk Tolerance:** Determine how much risk you're comfortable taking. Are you okay with the possibility of losing 10% of your capital in a bad month? Or are you more conservative with say 2-3% ? Use tools like risk assessment quizzes or reflect on past financial decisions to gauge this. This will vary based on the market you choose to trade but we’ll get to that later.

- **Capital Allocation:** Decide how much money you're willing to allocate to trading. A common rule is to never invest money you can't afford to lose. For beginners, starting with a small sum like $50 to $1000 can help manage risk while learning. Remember, this should be 'play' money, not essential funds like rent or bills and i’d strongly advise having a little bit of savings behind you first as an ‘emergency fund’ it will eliminate a lot of stress while learning to trade.

Step 1: Pre Planning & Preparation

3. Are You Willing to Commit 5 - 10 Years to This?
Trading is not a get-rich-quick scheme. It requires time to learn, adapt, and master.

Ask yourself if you're ready for a long-term commitment where initial years might be more about learning than earning. Consider if you're prepared for potential setbacks and if you have the patience to see your skills and strategies evolve over years.

I’m not going to lie and say it’s easy, trading is one of the hardest skills i’ve learnt and I wanted to quit multiple times.

The way I would put it is - “You have to be all in or your just wasting your time.”

Are you willing to dedicate the next 5 - 10 years to trading?

If you’ve got a pad infront of you write out the above question and simply answer:

YES OR NO

Step 1: Pre Planning & Preparation

4. What It Would Mean to You to Become a Full-Time Trader:

In this step I really want you to take 10 minutes and visualise what it would mean to become a full time trader, Conor McGregor said it best: If you can see it in your mind, and have the courage enough to speak it, it will happen.

Once you've done with the visualisation process create a vision board and place in very visible places eg: Phone screen, background, in your locker at work. Any where you're going to have to see on a daily basis.

Here's something to help:

- Reflect on what being a full-time trader would represent in your life. Would it mean financial freedom, the ability to work from anywhere, or simply the joy of mastering a complex skill? Think about the lifestyle changes, the dedication required, and the personal fulfilment from turning trading into a career.

- Consider the lifestyle implications: the freedom but also the discipline required, the stress of market fluctuations, and the continuous learning needed to stay ahead in the trading world.

- Any material items you would like to work towards as a reward for example mine was my own apartment and a luxury watch.

Step 2: Begin Educating Yourself On The Basics

Start by learning about different markets - stocks, forex, commodities, crypto, and bonds. Then, get familiar with charting basics, like candlestick, line, and bar charts, and understand various timeframes.

Next, dive into the fundamental concepts of trading: Key terminology, technical analysis for reading charts, fundamental analysis for valuing assets, and market sentiment for gauging market mood.

Familiarise yourself with the different trading styles: day trading, swing trading, position trading, scalping, algorithmic, and options trading to see what suits you.

Learn key trading knowledge like leverage, risk management, and how to use different order types like market, limit, and stop orders.

Lastly, expand your education with books, online resources, trading communities, YouTube and by practicing on demo accounts.

Here’s a quick list of every I would deem essential to learn that will work in any market: Reversal candlesticks, Market Structure, Liquidity concepts, Supply & Demand (Order Blocks), Multi-timeframe analysis.

I’ll also be providing lessons and breakdowns of each going forward in the discord so stay tuned in the education channel. As well as some websites you can use on your trading journey.

Step 3: Implementaiton And Practice

Pick a trading style that suits you:

- Assess Your Time Commitment: Day trading requires constant market watching, whereas swing or position trading might need less daily involvement but still requires periodic checks.

- Consider Your Risk Tolerance: Scalping and day trading can be high-stress due to rapid decisions, while position trading might align better with a lower tolerance for risk.

- Match Your Goals: Are you looking for quick profits or long-term growth? This will guide you towards day trading, swing trading, or position trading.

Select Your Market:

- Interest and Knowledge: Start with a market you're interested in or already know something about; enthusiasm can be a great motivator.

- Market Volatility: Forex and crypto might offer more volatility (and thus potential profit) but also more risk compared to stocks or bonds.

- Capital Requirements: Some markets allow trading with lower capital (like forex with leverage or funding), while others might require more initial investment (certain stocks or commodities).

(I day trade forex and swing trade crypto)

Step 3: Implementation And Practice

Begin to Practice Everything You've Learned:

- Use tradingview to set up your charts identifying trends, areas of liquidity and supply and demand etc. This will help you develop an eye for price action.
- Use Demo Accounts: Most trading platforms provide a demo or paper trading account. Use this to practice trading without financial risk. Experiment with different strategies, markets, and styles.
- Set Up a Learning Schedule: Dedicate time each day to practice, review trades, and learn from both your successes and your mistakes.
- Implement Your Strategy: Start with the trading style and market you've chosen. Learn a simple strategy from YouTube or one of my guides then practice entering and exiting trades, setting stop-losses, and understanding market reactions.
- Journal Your Trades: Keep a trading journal to note down what worked, what didn't, and how you felt during your trading sessions. This reflection will help refine your strategy.

Tips for Practicing:

- Start Small: Even in a demo account, mimic real-world scenarios by not over-trading or using excessive leverage.
- Review and Adjust: Regularly go over your trading decisions to see where you can improve your approach or where you've misjudged market movements.
- Learn from Others: Watch how seasoned traders operate through webinars, YouTube, or trading communities to gain insights into different strategies and market behaviors.

Step 4: Creating Your Trading Environment

Choose and Set Up Your Trading Platform:

- Broker Selection: Based on your chosen market, ensure you've selected a broker that offers access to that market with good fees, reliability, and user experience. Check out the #trustedbrokers channel in the discord for some suggestions.

- Platform Familiarity: Spend time getting to know the trading software or app. Learn how to place trades, set alerts, use analytical tools, and navigate through market data.

Create Your Trading Plan:

Use this step to really refine a clear criteria that tells you what to do in every scenario.

- Define Your Strategy: Detail the strategies you'll use, based on your practice and learning. Include entry/exit points, risk management rules, and position sizing.

- Set Trading Goals: Establish clear, measurable goals for your trading activities, whether it's profit targets, learning milestones, or risk management points.

- Establish a Routine: Decide when you'll trade, how long you'll spend analyzing the market, and when you'll review your performance.

- I'll outline a blueprint for this in a future lesson or feel free to grab my free ebook in the resources channel "The Winners Trading Plan".

Step 5: Focus On Improving Your Risk Management

Risk Management:

- **Stop-Loss Orders:** Always use stop-losses to limit your potential loss on each trade. Decide this amount before entering a trade.
- **Placement:** Learn where to place stop-losses based on market volatility and your risk tolerance.
- **Position Sizing:** Determine how much of your capital you're willing to risk on any single trade. A common guideline is not to risk more than 1-2% of your total trading capital on one trade.
- **Adjustments:** Scale your position size based on your win rate and the volatility of the asset you're trading.
- **Risk/Reward Ratio:** Before entering a trade, assess if the potential reward justifies the risk. A minimum ratio of 1:2 (risking $1 to make $2) is often recommended.

- **Strategy Adaptation:** Adjust your trading strategies to ensure they meet your risk/reward criteria.
- **Diversification:** Avoid putting all your capital into one asset or market. Spread your risk across different investments.
- **Balancing:** Find a balance that doesn't dilute your focus but mitigates risk.
- **Continuous Evaluation:** Regularly review your risk management practices to ensure they're still effective as markets and your trading skills evolve.
- **Performance Review:** Look at your trades over time to see if your risk management is keeping your losses within acceptable bounds.

Step 6: Gain Control Over Your Trading Psychology

Trading Psychology:

- **Emotional Control:** Learn to manage emotions like fear, greed, and hope. These can lead to impulsive decisions or holding onto losing positions too long.
- **Techniques:** Practice mindfulness, take regular breaks, and use stress management strategies like meditation or deep breathing.
- **Discipline:** Stick to your trading plan even when emotions are high. This includes following your entry and exit strategies without deviation due to market noise or peer pressure.
- **Routine:** Establish a pre-trade checklist to ensure every trade aligns with your strategy.
- **Patience:** Understand that not every day will be profitable. Patience in waiting for the right trade setup is crucial.
- **Reflection:** Regularly reflect on your decision-making process to foster patience.
- **Handling Losses:** Accept losses as part of trading. The key is how you react to them - learn from them rather than letting them affect future trades.
- **Post-Loss Analysis:** Review what went wrong without self-blame, focusing on improving your process.

Step 7: Scaling Your Capital

Starting Small:

- Begin with a $10k Funded Account: Once you're confident in your trading skills, aim for a small funded account. This size allows you to practice with real money under managed risk.

- Withdrawal Goals: Aim to withdraw 2-3% of the account regularly. This teaches discipline in taking profits and helps in scaling your income gradually.

Scaling Your Income:

- Reinvest Profits: Use the payouts from your successful trading to invest in larger challenge accounts, ranging from $50k to $200k.

- Compounding Strategy: By reinvesting your profits into bigger accounts, you're effectively compounding your gains without risking more of your own capital.

The Process to Scale:

- Incremental Growth: Keep repeating this process of trading, withdrawing, and then using those funds for even larger accounts. The goal is to eventually manage a million dollars in funding.

- Risk-Free Scaling: With each step up, you're scaling your trading account size but not your personal financial risk, since the capital is provided by the funding company for a small amount upfront.

Step 7: Scaling Your Capital

Long-Term Perspective:

- Patience is Key: Trading with funded accounts requires patience. Building up to significant capital management takes time and consistent performance.
- Think Long-Term: Don't rush the process. Focus on long-term growth rather than quick gains.

Consistency Before Scaling:

- Proven Track Record: "If you can’t manage a small account for 3-5 months and remain consistently winning, you’re not going to be able to manage a funded account." This is crucial advice.
- Focus on Consistency: Before seeking larger funding, ensure you can trade profitably with small capital. The discipline and strategy you develop here will be vital for managing larger sums.

Practical Tips:

- Choose the Right Funding Program: Look for programs that suit your trading style, offer good profit splits, and have reasonable rules for trading and withdrawals.
- Understand the Rules: Each funded account comes with its own set of rules (like drawdown limits, trading days, etc.). Know these inside out to avoid account disqualification.
- Performance Evaluation: Regularly review your trading performance, not just for profitability but for adherence to the funding program's rules.